Follow the Charge Before Calling It a Loss

For Finance, Purchasing and Contracting, ESD and IBA
David L. Condrey · Independent; self-funded · October 18, 2026
SDHA-2026-01-D · Version 1.0 · Based on SDHA-2026-01 v1.3

All 26 approved Urban Corps invoice totals match City Accounts Payable (AP); eight lack matching supplied native workbook totals. Two native draft errors are corrected in the approved versions. Separate pricing-authority, receipt-annotation and meal-line questions require different dispositions. No recoverable-loss total is established. [ABNR56369072]

> **Principal request:** The CFO should issue one invoice-to-payment report, with ESD and Purchasing and Contracting, documenting the authority, approved version, receipt treatment and net accounting disposition for the identified cases.

Observed evidence	Published disposition
Urban Corps rate change	September billing restores contracted rates; earlier separate written price approval was not located.
Corrected native drafts	Approved invoices and AP reflect corrections, not the erroneous draft amounts.
Seven multiple-receipt groups	Different annotations are confirmed; duplicate payment is not established.

The City’s executed AP recovery agreement already provides a route for reviewing duplicate payments, overpayments, credits and price variances; the contract alone does not establish completed recovery work. [AP-Recovery-10090424-26-L]

> **Boundary:** None of the comparisons below is booked as recovered money, a transferable Police balance or proof of fraud.

Agency key: CFO: Chief Financial Officer; ESD: Environmental Services Department; IBA: Independent Budget Analyst.

City Accounts Payable detail [ABNR56369072] · All Data; invoice references 24-02110 and 24-09110, amounts and clearing fields
Executed AP recovery agreement [AP-Recovery-10090424-26-L] · original pp. 1–3, 12–13; execution and review/reporting scope

Full-report pp. 26, 32, 48. · Full report and evidence; select version 1.3.

Trace the rate, final invoice and AP disposition together.

Signed schedule: **$29 employee-hour / $39 supervisor-hour**; price changes require written City approval. September's native workbook restores those rates and its approved bill removes mileage. [DR09] [BNR56369076]

Approved invoice	Rates / mileage	Total / AP
August 2025 **25-02004**	$30 / $40 $10,585.75 mileage	$322,679.75 5201638068 / line 2 Cleared October 8, 2025
September 2025 **25-03004**	$29 / $39 $0 mileage	$307,043 5201652219 / line 2 Cleared November 16, 2025

August comparison: **$8,425** labor + mileage = **$19,010.75** against the original schedule. [ABNR56369072]

All 26 approved totals match City AP: eighteen match a supplied native total; eight lack matching final-version support, not eight established overpayments. [ABNR56369072]

Native draft	Approved final treatment
August 2024	Prior $1,992 subtotal removed; other edits yield net $1,953.67 reduction to $266,358.
March 2025	Stale $874 cache → $920 = 160 supervisor hours × $5.75; approved $261,138.

Approved packet preserves both finals. **41,022 supported formulas** match stored operands; this does not certify crew, period or authorized rate. [BNR56369076]

> **Disposition:** no established recoverable overpayment. Approval does not establish written price authority; AP clearing does not independently verify bank settlement. Preserve native versions, identify the governing instrument/final bill and trace adjustments into net accounting. Service, posting and clearing years differ; the full proof includes the twelve-month bridge.

Executed CleanSD agreement [DR09] · original pp. 19, 85–86; price changes and schedule
Approved Urban Corps invoices [BNR56369076] · original pp. 37, 51, 53; approved invoices
City Accounts Payable detail [ABNR56369072] · All Data rows 100, 115, 117
City Accounts Payable detail [ABNR56369072] · All Data; invoice references 24-02110 and 24-09110, amounts and clearing fields
Approved Urban Corps invoices [BNR56369076] · original pp. 27, 41; approved August/March invoices

Full-report pp. 27, 29, 31, 32, 55. · Full report and evidence; select version 1.3.

Seven invoice groups carry multiple receipt annotations.

Seven Circuit Transit and United Site Services invoice groups carry different City goods-receipt annotations; their unique face amounts total **$69,785.59**, counted once rather than multiplied by the number of copies. [C55177515] [C51883083]

Some copies bear different purchase orders, while four United groups repeat the same annotated purchase order, amount and service period; reversal, rebooking or allocation could account for multiple numbers.

What was verified: The annotations, invoice identities, amounts and source-member relationships.

What was not established: Distinct SAP receipt records, duplicate net settlement, a recoverable loss or vendor intent.

Worked identity: Circuit 3162 has one $35,979.24 face amount and two printed receipt annotations; neither annotation supplies the missing net-settlement bridge.

Invoice identity →	Receipt and reversal →	AP and credit →	Net disposition

The selected Urban Corps AP extracts contain no Circuit or United supplier rows; the separate HSSD payment screen contains no matching direct-supplier entries and cannot supply the missing settlement bridge.

> **Apply the financial report:** State the original receipt, reversal or rebooking, accounting document, credit and final net payment for each invoice identity before deciding whether recovery is warranted.

A reconciled counterexample: Circuit invoice 3379 carries $16,108.73 and $24,444.73 allocations, summing exactly to its $40,553.46 face amount. Two receipt annotations can reflect a split allocation; they do not by themselves establish bank settlement. [C55177499]

Missing evidence in the reviewed releases does not establish that the City lacks the underlying accounting record.

Circuit invoice and receipt copies [C55177515] · original p. 1; Circuit 3162
United supplier invoice archive [C51883083] · five United invoice groups; exact ZIP member map in the proof
Circuit invoice 3379, split allocations [C55177499] · original p. 1; invoice 3379 and two PO/GR allocations

Full-report pp. 26, 32, 33. · Full report and evidence; select version 1.3.

The May dinner line has a $3,158.40 inconsistency.

Invoice arithmetic

Rowe's May 2025 dinner line prints **18,670 × $5.64** beside an extension of **$108,457.20**; multiplication produces **$105,298.80**, a **$3,158.40** inconsistency. [C55184122]

The printed extension equals the breakfast count of 19,230 multiplied by the dinner rate; either the dinner quantity or extension may be wrong, and matched delivery receipts were not acquired. The difference is excluded from paid-loss calculations.

Spending authority and timing

The meal-contract increase has a separate explanation: Council raised its ceiling from **$3 million to $5.6 million** for added capacity, and the invoice crossing the old gross comparison was issued after final passage. [CR316360] [ROWE999688]

Similarly, City forms identify **$125,681.32** of deferred June costs carried into July requests; the later **$111,030.19** April year-to-date change is fully bridged numerically through direct costs, administration and a phone difference. [C64725401]

> **Separate questions:** The historical bridge explains the numerical change; it does not certify April recognition, settlement of July requests or authority for every line transfer.

A request below its annual site budget also does not automatically authorize movement between budget lines.

Rowe May meal invoice [C55184122] · original p. 1; May invoice 18
Council meal-contract resolution [CR316360] · original pp. 1–2, 5; authority and vote
Meal-expansion staff report [ROWE999688] · original pp. 1–2; demand and fiscal projections
DfC invoices and adjustment forms [C64725401] · original pp. 28–29, 38–39; City June/July adjustment forms

Full-report pp. 34, 35, 37, 38. · Full report and evidence; select version 1.3.

997 export pairs differ only in commodity labels.

Native export check	Result and treatment
21 original columns compared	138,004 data records; 138,005 includes the header.
997 PO/item pairs differ only in commodity labels	$3,796,224.82 repeated Effective Price; label multiplicity.
255 other repeated keys	Department/business-area differences retained; allocation meaning unestablished.

The native comparison preserves every source field. [NR71540521]

Label pairs do not establish duplicate orders or payments. Effective Price measures commitment; HSSD's only pair repeats $42.76, immaterial to this analysis.

Read the operative contract version.

Signed Golden Hall agreements resolve execution gaps: the FY2025 six-month $2,812,764 budget was replaced by a $4,697,885 cap and relocation amendment. These are versions, not additive payments. [NR53645063-M15] [NR53645063-M14]

> **Use the financial report:** Preserve native columns, composite keys and version/allocation differences; reconcile cap, receipt, corrected invoice and cleared payment before identifying an overcharge or reducible balance.

The workbook and pair ledger reproduce the export test; signed instruments establish the terms. Allocation and cash settlement require separate evidence.

Separate historical governance finding: A separate SDHC acquisition produced an FPPC conflict finding and **$5,000 fine**; a separate civil settlement totaled **$1 million**. This establishes a conflict violation, not criminal fraud or an invoice-loss total. [FPPC-NEIL-APPROVAL] [FPPC-NEIL-STIP] [SDHC-HAR22-026]

Native City procurement export [NR71540521] · PRA_26-10308!A2:U138006; all-column native comparison and complete pair ledger in proof
Golden Hall option agreement [NR53645063-M15] · member original pp. 2–3, 15; FY2025 option and six-month budget
Golden Hall cap amendment [NR53645063-M14] · member original pp. 1, 3–5, 7; revised cap and relocation
FPPC approved enforcement decisions [FPPC-NEIL-APPROVAL] · original pp. 1–2; final February 16 approval, case 22/716
FPPC conflict stipulation [FPPC-NEIL-STIP] · original pp. 2, 4–8; facts, violation and mitigating evidence; Chair line in p. 9 copy is blank
SDHC litigation settlement report [SDHC-HAR22-026] · original pp. 2–4; civil allegations, allocation, debarments and releases

Full-report pp. 42, 45, 53. · Full report and evidence; select version 1.3.

The same invoices reconcile across two posting years.

$3,289,993.10

Approved value of the selected FY2025 service-month invoices; matched to distinct City Accounts Payable lines.

The twelve acquired approved Urban Corps invoices cover July 2024–June 2025 service. Their approved amounts reconcile by invoice identity to the City's AP extract, even though part of the value posted in the following fiscal year. [BNR56369076] [ABNR56369072]

Posting year for those same invoices	Matched value
FY2025	$2,698,989.10
FY2026	$591,004.00
Total	**$3,289,993.10**

18.0% of the selected service-year value posted in the following fiscal year. The FY2026 portion is the May invoice's **$303,586** across AP rows **109 and 110**, plus June's **$287,418** at row **108**. Those amounts reproduce the bridge.

Scope: This is the selected service-year invoice population, not all Urban Corps spending or a cash-outflow census. AP posting is City accounting evidence, not independent bank-settlement evidence.

Decision consequence: Reconcile the same invoice identities before comparing service-year and posting-year totals. This completed bridge explains the fiscal-year difference; use it when assessing whether invoices or payments are actually missing.

Approved invoices and AP rows are linked directly above. The full proof package retains the twelve-month join and original-to-excerpt page maps.

Approved Urban Corps invoices [BNR56369076] · selected approved invoice pages
City Accounts Payable detail [ABNR56369072] · All Data matched rows 81–110

Full-report pp. 29. · Full report and evidence; select version 1.3.

Publish authority, final bill and net payment together.

Requested direction: Direct the CFO, with Purchasing and service owners, to publish final invoice-to-payment dispositions for the named cases within the proposed 60-day return. Show governing authority, final approved charge and net accounting resolution.

Established finding	Decision that follows
Urban Corps: bills and rate authority	Close the tested draft-total differences against approved/AP amounts. Keep missing written rate-change authority and final native support separate. See page two.
Circuit / United: receipt groups	Match each invoice to receipt, reversal/rebooking, credit and final net payment before a recovery finding. Preserve the reconciled split-allocation counterexample. See page three.
Rowe: May dinner invoice line	Match accepted dinner quantities to the final charge and any correction or credit; identify which conflicting field changed. See page four.
Caps and approval dates	Use the operative instrument and effective date. Replacement caps and the late approval below are not additive charges. See page five and the audit below.

Ownership: CFO leads; Purchasing supplies authority and amendments, service owners supply acceptance evidence, and IBA or an independent fiscal reviewer checks amounts, periods and proposed recovery. Preserve invoice identities throughout.

The existing Moody Associates recovery contract covers the January 2024–December 2025 review period and requires case support and reporting; use that route where applicable rather than assume a second investigation is required. [AP-Recovery-10090424-26-L]

The full report and `Evidence.zip` retain the original native formulas, approved invoices, source hashes and exact joins; original contributions are CC BY 4.0, with third-party source rights retained.

Why effective dates belong in the report: The contract-management audit records an HSSD contract reduction approved **645 days after expiration**, not an additional charge. Later follow-up reports **10 of 13 recommendations implemented** through June 30, 2026. Preserve both the historical approval failure and subsequent corrective action. [OCA25-02] [BK36]

Executed AP recovery agreement [AP-Recovery-10090424-26-L] · original pp. 1–3, 12–13; execution and review/reporting scope
City contract-management audit [OCA25-02] · original pp. 4, 10–11, 36, 40–41, 43; sample, PO basis, limits and Appendix D
Auditor recommendation follow-up [BK36] · original pp. 146–148 / printed pp. 142–144; full disposition table and recommendations 1.2–1.4

Full-report pp. 27, 32, 33, 35, 42, 46, 48, 76. · Full report and evidence; select version 1.3.

Credits and public expenses add different accounting layers.

The City acknowledges SDHC billing corrections.

FY2025 reports carry a rounded **$1.4 million** combining unused FY2023 advances and FY2024 overbilling. Finance explains that estimated billings were reconciled to actual costs. [EXP-CITY-FY25-MIDYEAR]

FY2026 midyear report	One FY2025 overbilling credit	FY2026 third-quarter report
Reports this credit →	**$507,141** Shelters and multidisciplinary outreach. **Same credit; count once.**	← Reports the same credit

[EXP-CITY-FY26-MIDYEAR] [EXP-CITY-FY26-Q3]

> Credits document correction. Credit memos, program allocations and application to City accounts remain unverified. The narratives do not establish intentional false billing or a retained loss.

A public year-end report supplies the funding-source stack.

HSSD reports **$74,090,833 in unaudited FY2025 expenses**, including **$45,070,322 General Fund** and **$20,319,895 HHAP**, against an adopted budget of $89,840,378. [EXP-CITY-FY25-YEAREND]

This adds department-level expense aggregates. It does not replace the vendor ledger, site costs or service-period bridge, and must not be added to gross AP payments or cumulative grant totals.

> **Requested update:** Join each credit to its original bill, program allocation and net application. Reconcile annual expenses separately from commitments and cash.

City FY2025 midyear report [EXP-CITY-FY25-MIDYEAR] · original pp. 22, 80, 82; January 2025 credit account
City FY2026 midyear report [EXP-CITY-FY26-MIDYEAR] · original p. 81; FY2025 credit
City FY2026 third-quarter report [EXP-CITY-FY26-Q3] · original pp. 80, 82; repeated FY2025 credit
City FY2025 year-end expense table [EXP-CITY-FY25-YEAREND] · original pp. 62–65; unaudited HSSD funding-source table

Full-report pp. 59. · Full report and evidence; select version 1.3.

The final approval corrects the proposed funding story.

A dated grant-administration failure is documented.

The March 2025 IBA review records EDD's acknowledgment that the City missed the CDBG timeliness test for **three years**. Delayed projects and the abandoned Kettner/Vine allocation contributed to unspent balances. EDD could not supply an updated spending target because of limited staffing. [EXP-IBA25-09-SWIFT]

Two housing funding programs applied different caps.

The same review describes incompatible City subsidy rules: SDHC reduced Swift's preliminary loan by **$2.3 million**, while EDD proposed a **$1.7 million backfill** from funds intended for SDHC. The agencies agreed to revisit their caps.

The proposed CDBG increase was not the final authority. Council authorized only **$4 million** on March 25; SDHC separately approved **$4 million** in June. [EXP-R316132-SWIFT] [EXP-HC2040-SWIFT]

> Approvals are not disbursements. The records do not establish a completed $1.7 million diversion, an unlawful subsidy, a paid loss or the City's later HUD timeliness outcome.

> **Requested update:** Publish final grant balances, the applicable cap or approved exception, both agencies' final financing and actual draws. Preserve superseded proposals as proposals.

IBA Swift financing review [EXP-IBA25-09-SWIFT] · original pp. 2–5; timeliness, staffing and dual-NOFA rules
Final City Swift loan resolution [EXP-R316132-SWIFT] · original pp. 1, 4–5; final $4 million Council authority
Final SDHC Swift loan resolution [EXP-HC2040-SWIFT] · original p. 1; separate June SDHC approval

Full-report pp. 10, 62. · Full report and evidence; select version 1.3.